

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

TPG PRESSURE, INC., *Complainant*

v.

OMNI LOGISTICS LLC AND EPIC FREIGHT SOLUTIONS LLC,
Respondents.

DOCKET NO. 22-31

Served: November 3, 2023

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER ON COMPLAINANT’S MOTIONS TO COMPEL

I. Introduction and Procedural Background

On October 13, 2023, Complainant TPG Pressure, Inc. (“TPG Pressure”) filed a motion for in-camera treatment and to compel production of documents, a motion for confidential treatment, and a declaration with exhibits. On October 17, 2023, TPG Pressure filed an amended motion for in-camera treatment and to compel production of documents (“Privilege Motion”). The Privilege Motion withdrew the October 13, 2023, motion to compel, however it did not withdraw the declaration and exhibits or motion for confidential treatment. On October 20, 2023, TPG Pressure filed a second motion to compel production of documents (“Merger Motion”). Both motions request expedited treatment, confidential treatment, and attorney fees.

On October 24, 2023, Respondents Omni Logistics LLC (“Omni”) and Epic Freight Solutions LLC (“Epic”) filed an opposition to the privilege motion (“Privilege Opposition”) with exhibits. On October 27, 2023, Respondents filed an opposition to the merger motion (“Merger Opposition”) with an exhibit.

For the reasons explained below, the privilege motion is denied and the merger motion is granted. Respondents should provide the discovery ordered by November 20, 2023. The requests for attorney fees are denied. The request for confidential treatment is granted.

II. Discussion

A. Standard

The Commission’s Rules permit discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense.” 46 C.F.R. § 502.141(e)(1).

On motion or on its own, the presiding officer may limit the frequency or extent of discovery otherwise allowed by these rules if the presiding officer determines that:

(A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;

(B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or

(C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii). The Commission's Rules also permit the presiding officer to "issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j). Further, the Commission's Rules governing the production of documents or electronically stored information provides that parties "must produce the documents as they are kept in the usual course of business or must organize and label them to correspond to the categories in the request" and "need not produce the same electronically stored information in more than one form." 46 C.F.R. § 502.146(b)(2)(v)(A, C).

B. Attorney-Client Privilege

In the privilege motion, Complainant seeks to obtain copies of emails which Respondents claim are subject to attorney-client privilege. Complainant asserts that the emails are relevant, "are not privileged because they do not meet the strict 'but for' standard required," and that in camera review is appropriate. Privilege Motion at 6-9.

Respondents assert that Commission precedent disfavors in camera review; the "but-for" standard Complainant cites is flatly erroneous; one of the significant purposes of the communications reflected in epic_0051368-77 and epic_0040143-46 was to obtain legal advice; and Complainant is pursuing a fishing expedition with respect to the other documents identified on Respondents' privilege log. Privilege Opposition at 2-9.

The Commission has applied the attorney-client privilege previously to communications regarding the negotiation and filing of an agreement and status of an agreement, explaining:

The attorney-client privilege essentially provides that a client may refuse to disclose and prevent others from disclosing confidential communications made between the lawyer and client while seeking legal advice. *See* 3 Jack B. Weinstein & Margaret A. Berger, Weinstein's Federal Evidence, § 503.10 (Joseph M. McLaughlin, ed., Matthew Bender 2d ed. 1997). The Supreme Court has emphasized the public policy underlying the attorney-client privilege - "that sound legal advice or advocacy serves public ends and that such advice or advocacy depends upon the lawyer's being fully informed by the client." *Upjohn v. United States*, 449 U.S. 383, 389 (1981). In addition, "the purpose of the

attorney-client privilege is to promote freedom of consultation between client and lawyer by eliminating fear of subsequent compelled legal disclosure of confidential communications.” *United States v. Suarez*, 820 F.2d 1158, 1160 (11th Cir. 1987).

Ocean Common Carrier Status of Shanghai Hai Hua Shipping Co., Ltd. (HASCO) and SNL/HASCO Cross Space Charter and Sailing Agreement: FMC Agreement No. 011807, Docket No. 02-09, 2003 WL 131165, at *13 (FMC Jan. 13, 2003).

In another case, the Commission discussed whether a communication that “did not reveal confidences” should be protected, finding:

With respect to the document, it is irrelevant whether the information contained within reveals “confidences” from the Commission. The attorney-client privilege protects communications made between a client and an attorney. Confidences regarding the client need not have been revealed for the privilege to apply.

Exclusive Tug Franchises - Marine Terminal Operators Serving the Lower Mississippi River, Docket No. 01-06, 2002 WL 33836159, at *8 (FMC April 12, 2002).

Complainant asserts that the communications at issue fail to meet the “but-for” test. Privilege Motion at 7. The D.C. Circuit rejected that test, stating:

The but-for test articulated by the District Court is not appropriate for attorney-client privilege analysis. Under the District Court’s approach, the attorney-client privilege apparently would not apply unless the sole purpose of the communication was to obtain or provide legal advice. That is not the law. We are aware of no Supreme Court or court of appeals decision that has adopted a test of this kind in this context. The District Court’s novel approach to the attorney-client privilege would eliminate the attorney-client privilege for numerous communications that are made for both legal and business purposes and that heretofore have been covered by the attorney-client privilege.

In re Kellogg Brown & Root, Inc., 756 F.3d 754, 759 (D.C. Cir. 2014). The D.C. Circuit concluded that “it is clearer, more precise, and more predictable to articulate the test as follows: Was obtaining or providing legal advice a primary purpose of the communication, meaning one of the significant purposes of the communication?” *Id.* at 760.

Respondents provide affidavits from two authors of the emails, which were copied to Marcus Bradley, Omni’s Vice President and Associate General Counsel, who is a lawyer. Privilege Opposition, Ex. A at 2, Ex. C at 2. The unopposed affidavits state that Mr. Bradley was included to request legal advice and because of the potential for a broader legal dispute with Complainant. Privilege Opposition, Ex. A at 2, Ex. C at 2. The affidavits do not contest Complainant’s allegation that at “no point did any email directly address Mr. Bradley nor did Mr. Bradley author any email in the chain.” Privilege Motion at 4-5. However, Mr. Manzanarez’s affidavit states that “Mr. Bradley provided legal advice and guidance to the business team pertaining to the impending dispute with Complainant,” that “Mr. Bradley had multiple calls with members of the business teams, including me, about the dispute with

Complainant,” and “Mr. Bradley continued to provide legal advice to the business team” about the dispute. Privilege Opposition, Ex. A at 2-3.

It appears that obtaining legal advice was a primary purpose of the communication, meaning one of the significant purposes of the communication, even though Mr. Bradley was only copied on and did not author any of the emails. The affidavits establish that he was included because he was the Associate General Counsel and a lawyer for the purpose of obtaining legal advice and that he provided such advice. This may not have been the only purpose, but that is not required.

Additional information, including an in camera review, would not be helpful in making the determination of this issue. Accordingly, the request for in camera review of EPIC_0040143-46, EPIC0051369-77, and the documents listed in rows 17-28, 35-36, 42, and 46 of the privilege log is hereby denied. In addition, the motion to compel production of these documents is also denied.

C. Merger Documents

In the merger motion, Complainant seeks an order compelling Respondents to produce documents and respond to interrogatories regarding the merger of Respondents. Complainant contends that “the merger documents are necessary to corroborate witness testimony and may include further pertinent information to this case and the role each Respondent played in the events leading to this litigation” and argues that the documents are relevant to “(1) where Epic Freights obligations ended and the obligations of Omni Logistics began after the merger, which occurred in April 2021, i.e., which company was responsible for the transportation of TPG’s cargo; and (2) financial pressures the entities were facing that played a role in the events leading to this case.” Merger Motion at 4-7.

Respondents assert that Complainant’s delay in seeking certain documents demonstrates that the documents are not particularly important, let alone vital, to Complainant’s case; Complainant has had ample opportunity to obtain the discovery; and Respondents’ objections to Complainant’s requests for production have merit. Merger Opposition at 2-9.

Complainant asserts that the information is necessary “to corroborate witness testimony,” and to provide information about “the role each Respondent played in the events” at issue. Merger Motion at 4. Specifically, Complainant argues that the merger agreements are relevant to two components: “(1) where Epic Freights obligations ended and the obligations of Omni Logistics began after the merger, which occurred in April 2021, i.e., which company was responsible for the transportation of TPG’s cargo; and (2) financial pressures the entities were facing that played a role in the events leading to this case.” Merger Motion at 5. Moreover, Complainant asserts that “Respondents denied that Omni Logistics provided transportation services” which could impact recovering any reparations ordered from Epic, which is no longer operational, and that the documents may show “financial incentives that pushed Epic Freight to submit invoices unsupported by appropriate documentation.” Merger Motion at 6-7.

Complainant has not established that the information is necessary to corroborate witness testimony as that implies the information would be duplicative and Complainant has had an opportunity to depose witnesses regarding this information. Moreover, it is not clear that

information regarding “financial pressures” or “financial incentives” would be relevant as motivation is not an element of Shipping Act claims.

However, the “role each Respondent played in the events” and “where Epic Freight’s obligations ended, and the obligations of Omni Logistics began” are relevant. The first claimed violation is of section 41102(c) and the first element of that section is that the “respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary.” 46 C.F.R. § 545.4. The amended complaint alleges that each Respondent “was and is a licensed non-vessel-operating common carrier (NVOCC),” a type of ocean transportation intermediary. Complaint at 2. In their answer, each Respondent “denies that it operated as a non-vessel operating common carrier in relation to Complainant or its allegations.” Answer at 2. Moreover, Respondents deny that Epic was “rebranding to Omni Logistics” and assert that Omni only “issued invoices bearing Omni’s name on Epic’s behalf.” Answer at 3. Thus, Omni’s and Epic’s relationships with each other are relevant to the claims in this proceeding.

While the depositions likely contained some information relevant to this issue, the corporate information requested in Complainant’s requests for production of documents and interrogatories would be more complete. Moreover, the window for discovery does not close until December 21, 2023, so there is time to produce the documents without delaying this proceeding. Respondents’ claim that the “primary document memorializing the transaction between Omni and Epic is a lengthy, nearly 200-page document setting forth recitals, warranties, and the like” which contains “highly sensitive commercial documents” including to “individuals who have no connection to this action” does not shield the document from production. The parties may, however, update their protective order, if necessary, to ensure that the information is appropriately protected. In addition, the temporal scope of the requests should be limited to documents that were in effect during the timeframe of the transactions in dispute here. So, meeting minutes, organizational charts, etc. need only be provided for the timeframe at issue, but the bylaws, articles of incorporation, etc. that were in effect during the timeframe at issue should be provided, even if they predate the relevant timeframe.

Accordingly, Respondents are hereby ordered to respond to Complainant’s May 16, 2023, request for production of documents 2, 3, and 4 and Complainant’s May 16, 2023, interrogatory number 4 by November 20, 2023.

D. Attorney Fees and Costs

TPG Pressure seeks attorney fees and costs related to the motion to compel, asserting that it has incurred additional costs. Privilege Motion at 9-10; Merger Motion at 7-8. Respondents contend that even if the Presiding Officer grants the motion, Complainant is not entitled to fees and costs. Privilege Opposition at 9-10; Merger Opposition at 9.

Pursuant to the Howard Coble Coast Guard and Maritime Transportation Act of 2014, 46 U.S.C. § 41305(e), and Commission Docket No. 15-06, under certain circumstances, attorney fees may be awarded to the prevailing party in a complaint proceeding. However, there is no mechanism for the presiding officer to award fees prior to the resolution of a proceeding.

Furthermore, “[b]efore an agency may order a litigant to bear his adversary’s expenses, ‘it must be granted clear statutory power by Congress.’” Although the Shipping Act grants the Commission the power to award attorney’s fees in

connection with a reparation award, 46 U.S.C. § 41305, it does not grant the Commission the power to award attorney's fees in connection with a discovery dispute.

Streak Products, Inc. v. UTI United States, Inc., Docket No. 13-04, 2014 WL 5316341, at *23 (ALJ April 7, 2014) (citations omitted). Accordingly, the request for fees and costs is denied at this point in the proceeding.

E. Confidential Treatment

It appears that the October 13, 2023, declaration with exhibit and motion for confidential treatment are still pending. Respondents do not object to them but rather cite to them. See Merger Opposition at 7. Complainant properly redacted only the portions of a deposition that it alleged included confidential information. While some of the information in the redacted sections would not be entitled to confidential treatment, the redactions are limited and it is possible to understand the motion without the redacted information. Therefore, the motion for confidential treatment is granted. If this case proceeds to briefing, the parties should limit redactions to just words or sentences that contain confidential information.

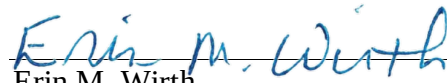
III. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Complainant's amended expedited motion for in camera review and to compel production of privileged documents be **DENIED**. It is

FURTHER ORDERED that Complainant's motion to compel production of merger documents be **GRANTED**. The documents identified above should be provided by Respondents to Complainant by November 20, 2023. The request for attorney fees is **DENIED**. It is

FURTHER ORDERED that Complainant's motion for confidential treatment be **GRANTED**.


Erin M. Wirth
Chief Administrative Law Judge